



| 29

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dia's strength, including IT and IT-enabled services, professional services, education, financial services, tourism, construction, and other business sectors. Further, it provides a framework for business mobility covering short-term, temporary and business travel. It, however, does not address the contentious issue of the EU's Carbon Border Adjustment Mechanism under which imports to the EU are being taxed based on carbon emissions since January.

While Indian exporters are optimistic about the deal and are receiving enquiries from the UK and the EU, they say the benefits

will take at least a year to accrue. Ajay Srivastava, Founder of think-tank Global Trade Research Initiative, welcomes further integration with the world. "They (trade deals) are likely to have a positive impact on India's trade. The US trade deal is the 20th FTA by India. But the timelines for the deals are to be seen—the UK CETA is yet to be implemented, the EU FTA will take over a year, and we will have to see when the US deal comes into effect," he says.

Pankaj Chadha, Chairman, Engineering Export Promotion Council of India, says the EU deal is still a year away and likely to be operationalised sometime in January-March 2027.

FROM LEFT: British Trade Minister Jonathan Reynolds, Prime Minister Narendra Modi, UK PM Keir Starmer and Commerce Minister Piyush Goyal after the signing of the trade deal between India and the UK

THE US DEAL

Of more immediate interest is the US deal that promises to lower the penal tariff of 50% to 18% and place India more favourably than other economies. The high tariff had impacted several labour-intensive sectors, including textiles and gems and jewellery. But about 45% of India's exports, from sectors such as